24STCV12836 24STCV12836

County: los-angeles

Division: Civil Law and Motion

Department: 1

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Case Number: 24STCV12836 Hearing Date: August 26, 2026 Dept: 1

Preliminary

Approval of Class Action Settlement

Department

SSC-1

Hon.

Theresa M. Traber

Roberto

Flores v. Commodity Forwarders, Inc.

Case No.: 24STCV12836

Hearing: August 26,

2026

TENTATIVE

RULING

The Court's tentative ruling is to GRANT preliminary approval

contingent on the parties addressing the following:

1) According to the

Settlement Agreement, Plaintiff requests "Class Counsel Fees Payment not to

exceed 33.33% of the Gross Settlement Amount or $246,642.00, whichever is

greater." (¶3.1.2) Based on current records,

the parties and the Administrator must review and verify the workweek total and confirm the Gross Settlement Amount and deductions prior to distributing the Class Notice. Ensure that the Notice and Proposed Order are modified to reflect the attorneys’ fee cap so consistent with any alterations to the Agreement.

2) According to ¶¶6.12.1, 6.12.2, and 6.12.3, the Administrator, Class Counsel, and Defense Counsel may attempt to resolve any Class Member disputes regarding the validity or timeliness of a Request for Exclusion, workweek dispute, or written objection. However, the Court has the final authority to make these decisions, which will not be appealable or susceptible to challenge. Explain why the Court, not the Administrator, should be given the authority to make these final decisions.

3) Ensure that disbursement of the Class Counsel Fees Payment, Class Counsel Expenses Payment, and Class Representative Service Payment does not precede disbursement of Individual Class Payments and Individual PAGA Payments.

4) Provide the qualifications and experience of the Administrator, including evidence that the settlement administrator has procedures in place to protect the security of class data and adequate insurance in the event of a data breach or defalcation of funds.

5) Why are Class Members who cash their Settlement Checks “releasing claims against Defendant that could have been alleged based on the facts and legal theories in the Operative Complaint during the Class Period under the Fair Labor Standards Act (“FLSA”)”? (Settlement Agreement, ¶5.1.1)

6) The heading of the Notice should prominently state the case number, names of the parties, and the Court and county where the case is filed.

7) According to ¶1.10 of the Settlement Agreement, the Class Notice will be distributed in English. According to ¶6.3, the Notice will be distributed in English and Spanish. Address this inconsistency.

The Court orders the parties to submit supplemental briefing and supporting declarations as well as revised versions of the Settlement Agreement and Class Notice to address the Court's concerns. The parties are directed to submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental papers are due to be filed by ________________________________. The Court sets a non-appearance case review for __________________________________ to review the supplemental papers, which are due at least five court days beforehand. The hearing on the motion for final approval is set for ____________________ at 10:30 a.m.

BACKGROUND

This is a wage and hour class action. On May 21, 2024, Plaintiff Roberto Flores ("Plaintiff" or "Flores"), individually and on behalf of all others similarly situated, filed a putative class action against Defendant Commodity Forwarders, Inc. ("Defendant" or "Commodity") and Does 1 through 10 asserting claims for (1) Failure to Pay All Minimum Wages [Cal. Lab. Code §§ 204, 1194, 1194.2, and 1197]; (2) Failure to Pay All Overtime Compensation [Cal. Lab. Code §§1194 and 1198]; (3) Failure to Provide Meal Periods [Cal. Lab. Code §§226.7, 512]; (4) Failure to Authorize and Permit Rest Breaks [Cal. Lab. Code §§226.7]; (5) Failure to Indemnify Necessary Business Expenses [Cal. Lab. Code §2802]; (6) Failure to Timely Pay Final Wages at Termination [Cal. Lab. Code §§201-203]; (7) Failure to Provide Accurate Itemized Wage Statements [Cal. Lab. Code §226]; and (8) Unfair Business Practices [Cal. Bus. & Prof. Code §§ 17200, et seq.]. Plaintiff alleges that Defendant is a logistics and freight forwarding firm that provides ad-hoc domestic trucking and temperature-controlled pickup and delivery services to points throughout the United States. Defendant employed Plaintiff and other non-exempt, hourly-paid employees during the Class Period.

On May 19, 2024, Plaintiff provided written notice to the Labor and Workforce Development Agency ("LWDA") and Defendant pursuant to Labor Code section 2699.3, regarding alleged violation of the Labor Code.

(Declaration of Kane Moon ("Moon Decl."), ¶6, Ex. 2.)

On August 2, 2024, Plaintiff filed the Operative First Amended Class and Representative Action Complaint ("FAC") adding a claim for Civil Penalties Under PAGA [Cal. Lab. Code §2699, et seq.].

On November 24, 2025, the parties participated in a full-day mediation with Steven Rottman, Esq., which ultimately resulted in a settlement. (Moon Decl., ¶10.) A copy of the fully executed Joint Stipulation of Class and Representative Action Settlement Agreement ("Settlement Agreement" or "Agreement") is attached to counsel Moon's declaration as Exhibit 1. (Id. at ¶2, Ex. 1.)

Now before the Court is the Motion for Preliminary Approval of Class and PAGA Representative Action Settlement ("MPA"), filed on April 6, 2026.

SETTLEMENT CLASS DEFINITION

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"Class" or "Class Member(s)" means all current and former non-exempt employees who worked for Defendant during the Class Period (or if any such person is incompetent, deceased, or unavailable due to military service, the person's legal representative or successor in interest evidenced by reasonable verification). (¶1.4)

o "Class Period" means May 21, 2020, through January 24, 2026. (¶1.11)

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"Aggrieved Employees" means all current and former non-exempt employees who worked for Defendant in California during the PAGA Period (or if any such person is incompetent, deceased, or unavailable due to military service, the person's legal representative or successor in interest evidenced by reasonable verification). (¶1.3)

o "PAGA Period" means May 21, 2023, through January 24, 2026. (¶1.31)

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The
Parties agree to stipulate to class certification only for purposes of the
Settlement. (¶11.2)

TERMS
OF SETTLEMENT AGREEMENT

The essential terms are as
follows:

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The
Gross Settlement Amount ("GSA") is $740,000, non-reversionary. (¶¶1.21, 3.0)

o Escalator Clause: Defendant represents that as of November 24,
2025, the number of workweeks worked by Class Members during the Class Period
is approximately 49,533. If it is determined that the total workweeks in the
Class Period increases by more than 10% of the original estimate of 49,533
(i.e. the total number of workweeks exceeds 54,486), then the Class Settlement
shall increase proportionately for the amount exceeding the 10% threshold
(i.e., meaning if the workweeks increase by 11%, the Class Settlement will
increase by 1%). (¶7)

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The
Net Settlement Amount ("Net") ($410,833.33)
is the GSA minus the following:

o Up to $246,666.67
(1/3 of GSA) or $246,642, whichever
is greater, for attorney fees (¶3.1.2);

§ Based on current records, the parties and the
Administrator must review and verify the workweek total and confirm the Gross
Settlement Amount and deductions prior to distributing the Class Notice. Ensure that the Notice and Proposed Order are

modified to match any alterations to the Agreement.

o Up to $35,000
for costs of litigation (Ibid.);

o Up to $7,500 for a Class Representative Service Award (¶3.1.1);

o Up to $10,000 for settlement
administration costs (¶3.1.3);

o
Payment of $30,000
PAGA penalty ($22,500 or 75% to the LWDA) (¶3.1.4).

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Employer
Taxes. Defendant will
separately pay any and all employer payroll taxes owed on the Wage Portions of
the Individual Class Payments. (¶3.0)

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There is no claim
form requirement. (¶3.0)

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“Response
Deadline” means forty-five (45) calendar days from the date the
Administrator mails the Class Notice to the Class and the last date on which
Class Members may: (a) mail a Request for Exclusion from the Settlement; or (b)
mail an Objection to the Settlement. Class Members to whom a Class Notice is
resent after having been returned undeliverable to the Administrator shall have
an additional fourteen (14) calendar days beyond the Response Deadline to
timely mail a Request for Exclusion or Objection.. (¶¶1.42, 6.4.1) The same deadlines apply to submission of
workweek disputes, which must be sent to the Administrator via mail. (¶6.12.2)

o If the number of valid and timely Requests for
Exclusion exceeds ten percent (10%) of the total of all Class Members,
Defendant may, but is not obligated to, elect to withdraw from the Settlement. (¶8)

o

According
to ¶¶6.12.1, 6.12.2, and 6.12.3, the Administrator, Class Counsel, and Defense Counsel may attempt to resolve any Class Member disputes regarding the validity or timeliness of a Request for Exclusion, workweek dispute, or written objection. However, the Court has the
final authority to make these decisions, which will not be appealable or susceptible to challenge. Explain why the Court, not the Administrator, should be given the authority to make these final decisions.

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Individual Settlement Payment
Calculation: The Administrator will calculate each Individual Class Payment by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (¶3.1.3.1) Non-Participating Class Members will not receive an Individual Class Payment. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (Ibid.)

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Tax allocation: 10% wages, 90% interest/penalties. (¶3.1.3.2)

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Individual
PAGA Payment Calculation:
The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. (¶3.1.4.1) If the
Court approves PAGA Penalties less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (¶3.1.4.2)

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Tax allocation: 100% penalties. (¶3.1.4.2)

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Funding
of Settlement: The Gross Settlement Amount, together with

all employer-side payroll taxes owed on the wage portions of the Individual Class Payments, shall be fully funded by transmission of such funds to the Administrator no later than sixty (60) days following the Effective Date. (¶4.0)

o "Effective Date" means the date on which the judgment entered by the Court upon granting final approval of the Class Settlement (the "Judgment") becomes final. The Judgment is final as of the latest of the following occurrences: (a) if no Class Member objects to the Class Settlement, the day the Court enters Judgment; (b) if one or more Class Members objects to the Class Settlement, the day after the deadline for filing a notice of appeal from the Judgment; or (c) if a timely appeal from the Judgment is filed, the day after the appellate court affirms the Judgment and issues a remittitur. (¶1.17)

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Distribution. No later than fourteen (14) calendar days after Defendant funds the entire Gross Settlement Amount, the Administrator shall mail checks for the Individual Class Payments, Individual PAGA Payments, LWDA PAGA Payment, Class Counsel Fees Payment, Class Counsel Expenses Payment, Class Representative Service Payment, and Administration Expenses Payment. (¶4.1)

o

Ensure that disbursement of the Class Counsel Fees Payment, Class Counsel Expenses Payment, and Class Representative Service Payment does not precede disbursement of Individual Class Payments and Individual PAGA Payments.

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Uncashed Settlement Checks. The face of each check shall prominently state the date the check will be voided. Each check will be voided 180 days after the date of mailing ("void date"). The Administrator will cancel all checks not cashed by the void date. (¶4.1.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, or for any Class Member whose envelope is returned and no forwarding address can be located for the Class Member after reasonable efforts have been made, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class

Member, thereby leaving no “unpaid residue” subject to the requirements of
California Code of Civil Procedure (“CCP”) section 384(b). (¶4.1.3)

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Phoenix
Class Action Administration Solutions will act as administrator for the settlement.
(¶¶1.1, 6.0; Moon Decl., ¶16, Ex. 5 – Phoenix’s
Administration Bid.)

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Provide the
qualifications and experience of the Administrator, including evidence that the
administrator has procedures in place to protect the security of class data and
adequate insurance in the event of a data breach or defalcation of funds.

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The proposed
Settlement Agreement was submitted to the LWDA on April 1, 2026. (Moon Decl., ¶11, Ex. 3.)

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Participating
class members and the named Plaintiff will release certain claims against
Defendant. (See further discussion below.)

ANALYSIS
OF SETTLEMENT AGREEMENT

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Does a presumption of fairness exist?

1.

Was
the settlement reached through arm’s-length bargaining? Yes. On November
24, 2025, the parties participated in a full-day mediation with Steven Rottman,
Esq., which ultimately resulted in a settlement. (Moon Decl., ¶10.) A copy of the fully executed Joint
Stipulation of Class and Representative Action Settlement Agreement (“Settlement
Agreement” or “Agreement”) is attached to counsel Moon’s declaration as Exhibit
1. (Id. at ¶2, Ex. 1.)

2.

Were
investigation and discovery sufficient to allow counsel and the court to act intelligently? Class
Counsel represents that, prior to mediation, Defendant produced a statistically sound sample of time and pay records for approximately 26% of the putative Class, Plaintiff's personnel file and time and pay records, and Defendant's written employment policies in effect during the Class Period. Defendant also provided information regarding the estimated number of current and formerly employed Class Members, Aggrieved Employees, and PAGA Pay Periods. (Moon Decl., ¶8.) Plaintiff's Counsel reviewed and analyzed all the information Defendant provided, including the sample records and documents regarding Defendant's wage-and-hour policies. Plaintiff's Counsel retained a statistics expert to analyze the sample records and prepare a damage analysis prior to the mediation. The sample time and pay records analyzed contained 39,809 actual shifts worked (representing roughly 17% of total shifts worked in the Class Period), which allowed Plaintiff's expert to prepare an analysis with a reasonable degree of certainty. In conjunction with their extensive factual investigation, Plaintiff's Counsel also investigated the applicable law regarding the claims and defenses asserted in the litigation. Accordingly, Plaintiff's Counsel was able to evaluate the probability of class certification, success on the merits, and Defendant's monetary exposure. (Id. at ¶9.)

3. Is counsel experienced in similar litigation? Yes. Class Counsel represent that they are experienced in class action litigation, including wage and hour class actions. (Moon Decl., ¶¶50-71.)

4. What percentage of the class has objected? This cannot be determined until the fairness hearing. (See Weil & Brown, Cal. Practice Guide:
Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ["Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing."].)

CONCLUSION: The settlement is entitled to a presumption of fairness.

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Is the settlement fair, adequate, and reasonable?

1. Strength of Plaintiff's case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker

Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Class Counsel provided information, summarized below, regarding the potential value of each claim asserted:

Violation

Maximum
Potential Recovery

Realistic
Potential Recovery

Unpaid Wages

(Regular Rate)

$6,431.00

$1,607.75

Unpaid Wages

(Off the Clock)

$1,286,809.82

$128,680.98

Meal Period Violations

$325,336.21

$81,334.05

Rest Period Violations

$5,582,737.38

$558,273.74

Unreimbursed Business Expenses

$183,345.00

$18,334.50

Waiting
Time Penalties (Labor Code § 203)

$805,919.00

$40,295.95

Wage
Statement Penalties (Labor Code § 226)

$1,112,000.00

$55,600.00

PAGA

$2,517,100.00

$125,855.00

TOTAL

$11,819,678.41

$1,009,981.97

(Moon
Decl., ¶¶32-45.)

2. Risk, expense, complexity and likely duration of
further litigation. Given the nature of the class claims, the
case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and
appeals) are also likely to prolong the litigation as well as any recovery by
the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See Weinstat v. Dentsply Intern., Inc. (2010) 180 Cal.App.4th 1213, 1226 ["Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate."].)

4. Amount offered in settlement. Plaintiff calculated Defendant's maximum potential exposure at $11,819,678.41 and realistic potential exposure at $1,009,981.97. The $740,000 settlement amount represents approximately 6.3% to 73.3% of potential damages, which is in the ballpark of reasonableness.

The $740,000 settlement amount, if reduced by the requested deductions, will leave $410,833.33 to be divided among approximately 387 class members. The resulting payments will average $1,061.58 per member [$410,833.33 Net / 387].

5. Extent of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, are experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the final fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

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Scope of the release

Effective on the date Defendant fully funds the entire Gross Settlement Amount and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments, Plaintiffs, Participating Class Members, and Aggrieved Employees will release claims against all Released Parties as follows. (¶5)

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Release by Participating Class Members:

All Class Members who do not timely opt out of the Settlement will release the Released Parties from all causes of action and claims that were alleged in the Action or reasonably could have been alleged based on the facts and legal theories contained in the Operative Complaint during the Class Period, including all of the following claims for relief: (i) failure to pay all regular rate wages, minimum wages, straight time wages, overtime, and double time wages due; (ii) failure to provide compliant meal periods; (iii) failure to provide compliant rest breaks; (iv) failure to timely pay wages during employment; (v) failure to provide complete, accurate wage statements; (vi) failure to pay wages timely at time of termination or resignation; (vii) failure to reimburse or indemnify necessary business expenses; and (viii) unfair business practices that could have been premised on the claims, causes of action or legal theories of relief described above or any of the claims, causes of action or legal theories of relief pleaded in the Operative Complaint during the Class Period. The Class Members who cash their Settlement Checks further acknowledge they are releasing claims against Defendant that could have been alleged based on the facts and legal theories in the Operative Complaint during the Class Period under the Fair Labor Standards Act ("FLSA") (collectively, the "Released Class Claims"). (¶5.1) The definition of "Released Class Claims" for the Class Members shall expressly exclude all claims for vested benefits, wrongful termination, unemployment insurance, disability, social security, workers' compensation, all claims while classified as exempt, or all claims based on facts occurring outside of the Class Period. (¶5.1.1)

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Why

are Class Members who cash their

Settlement Checks “releasing claims against Defendant that could have been alleged based on the facts and legal theories in the Operative Complaint during the Class Period under the Fair Labor Standards Act (“FLSA”)”? (¶5.1.1)

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PAGA Released

Claims: All Aggrieved Employees

will release the Released Parties from all causes of action and claims for civil penalties under the California Labor Code Private Attorneys General Act of 2004 that were alleged in the Operative Complaint in the Action and/or Plaintiff’s PAGA notice letter or reasonably could have been alleged based on the facts and legal theories contained in the Operative Complaint in the Action and/or Plaintiff’s PAGA notice letter, during the PAGA Period, including claims for civil penalties based on the following: (i) failure to pay all regular rate wages, minimum wages, straight time wages, overtime, and double time wages due; (ii) failure to provide compliant meal periods; (iii) failure to provide compliant rest breaks; (iv) failure to timely pay wages during employment; (v) failure to provide complete, accurate wage statements; (vi) failure to pay wages timely at time of termination or resignation; (vii) failure to reimburse or indemnify necessary business expenses; (viii) failure to maintain records in accordance with Labor Code Section 1174; and/or (ix) claims, causes of action or legal theories of relief seeking civil penalties under the California Labor Code Private Attorneys General Act of 2004 based on the PAGA Period facts plead in the Operative Complaint and underlying LWDA exhaustion letter (collectively, the “Released PAGA Claims”). (¶5.2) In light of the binding nature of a PAGA judgment on non-party employees pursuant to Arias v. Sup. Ct. (Angelo Dairy) (2009) 46 Cal.4th 969 and Cardenas v. McLane Foodservice, Inc. (2011) 796 F.Supp.2d 1246, Aggrieved Employees who exclude themselves from the class action component of the Settlement shall nonetheless receive a payment for the amount of each such individual’s estimated share of the Aggrieved Employees’ portion of the PAGA Payment and shall have released PAGA claims. (¶5.2.1)

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“PAGA Notice”

means Plaintiff’s May 19, 2024 letter to the LWDA providing written notice pursuant to Labor Code section 2699.3(a).

(¶1.33; Moon Decl., ¶6, Ex. 2.)

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Non-Participating

Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.2 of this Agreement and are eligible for an Individual PAGA Payment. (¶6.12.1.2)

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Plaintiff

will additionally provide a general release and §1542 waiver. (¶5.0)

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"Released Parties" means Defendant and its past, present and/or future, direct and/or indirect, officers, directors, members, managers, employees, agents, representatives, attorneys, insurers, partners, investors, shareholders, administrators, parent companies, subsidiaries, affiliates, divisions, predecessors, successors, assigns, and joint venturers. (¶1.40)

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May conditional class certification be granted?

1. Standards

A

detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (Amchem Products, Inc. v. Winsor (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1807 fn. 19.) Finally, the Court is under no "ironclad requirement" to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 240.)

2. Analysis

a. Numerosity.

There are approximately 387 Class Members. (Moon Decl., ¶32.) This element is met.

b. Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) Class Members are identifiable through Defendant’s records. (MPA at 17:21-28.)

c. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff contends that the employment practices at issue include whether Defendant: paid employees all minimum, overtime, double time, meal premium, and sick pay wages owed; reimbursed employees for necessary business expenses; provided employees with and authorized meal and rest periods or paid premiums for non-compliant breaks; paid all final wages to employees at the time of termination; intentionally failed to pay all final wages; provided inaccurate itemized wage statements and whether Class Members were harmed; engaged in unfair business practices; and violated civil penalty provisions under PAGA.
Plaintiff contends the factual and legal issues are the same for all Class Members, and further that all Class Members suffered from and seek redress for the same alleged injuries. Considering Class Members would need to prove the same issues of law and fact to prevail, and their legal remedies are identical, it would be preferable to resolve all claims through a settlement than to force each Class Member to litigate their own individual claims. (MPA at 18:18-19:3.)

As to typicality, Plaintiff contends that he is a former employee of Defendant and alleges he was subject to the same policies and practices as other similarly situated employees. (MPA at 19:12-13.)

As to adequacy, Plaintiff does not have any conflicts of interest with other Class Members, understands his duties as Class

Representative, has been active in the litigation, and is represented by experienced counsel. (MPA at 19:20-28; see Declaration of Roberto Flores.)

d. Adequacy of class counsel. As indicated above, Class Counsel have shown experience in class action litigation, including wage and hour class actions.

e. Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

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Is the notice proper?

1. Content of class notice. The proposed notice is attached to the Settlement Agreement as Exhibit A. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

The heading of the Notice should prominently state the case number, names of the parties, and the Court and county where the case is filed.

2. Method of class notice.

Class Data: No later than twenty-one (21) calendar days after the Court grants Preliminary Approval of the Settlement, Defendant will deliver the Class Data to the Administrator in the form of a Microsoft Excel spreadsheet. (¶6.1)

Notice via mailed. No later than fourteen (14) calendar days after receiving the Class Data from Defendant, the Administrator will send all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice in English and Spanish. Before mailing the Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶6.3) The Class Notice will be mailed in English. (¶1.10) Address this inconsistency.

No later than three (3) business days after its receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by USPS. If USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send the Class Notice to Class Members whose Class Notice is returned by USPS a second time. (¶6.4) The deadlines for Class Members' Objections, Challenges to Calculation of Workweeks and/or PAGA Pay Periods, and Requests for Exclusion will be extended an additional fourteen (14) calendar days beyond the forty-five (45) calendar days otherwise provided in the Class Notice for all Class Members whose notice is re-mailed. The Administrator will inform the Class Member of the extended deadline with the re-mailed Class Notice. (¶6.4.1)

Notice of the date, time, and location of the Final Approval Hearing and the Final Judgment will be posted on the Settlement Administrator's website. (¶6.11)

3. Cost of class notice. As indicated above, settlement administration costs are estimated to be $10,000. Prior to the time of the final fairness hearing, the administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

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Attorney fees and costs

CRC rule 3.769(b) states: “Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action.”

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int’l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, “the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable.” (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to $246,666.67 (1/3 of GSA) or $246,642, whichever is greater, in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel. Class Counsel should also be prepared to justify the costs (capped at $35,000) sought by detailing how they were incurred.

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Incentive Award to Class Representative

The named Plaintiff will request an enhancement award of $7,500. In connection with the final fairness hearing, Plaintiff must submit declarations attesting to why he should be entitled to an enhancement award in the proposed amount. Plaintiff must explain why he “should be compensated for the expense or risk [he] has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’ Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit . . . .’” (Id. at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement award at the time of final approval.